

Financial Accounting II (MGT401)

Question: 1 (Marks: 1)

Attempted Questions: 0

Total Questions: 69

Which of the following is a present obligation of the entity arising from a past event the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits?

Choices:

☐ Asset☐ Income☐ Expense☐ Liability

Financial Accounting II (MGT401)

Question: 2 (Marks: 1)

Attempted Questions: 1

Total Questions: 69

Which of the following is recognized in the Profit and loss account in case of leasing?

Choices:

☐ Gain and loss on disposal of fixed assets☐ Sale of fixed asset☐ Purchase of fixed asset☐ Money spent on erection of assets

Financial Accounting II (MGT401)

Question: 3 (Marks: 1)

Attempted Questions: 2

Total Questions: 69

Which of the following statement shows the sources from which business generated cash and its application?

Choices:

☐ Income Statement☐ Cash Flow Statement☐ Statement of Changes in Owners Equity☐ Balance Sheet

Financial Accounting II (MGT401)

Question: 4 (Marks: 1)

Attempted Questions: 3

Total Questions: 69

Which of the following represents the Dilution in earning?

Choices:

☐ Basic Earning Per Share – Diluted Earning Per Share

☐ Basic Earning Per Share + Diluted Earning Per Share

☐ Basic Earning Per Share x Diluted Earning Per Share

☐ Basic Earning Per Share / Diluted Earning Per Share

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Question: 5 (Marks: 1)

Attempted Questions: 4

Total Questions: 69

Which of the following refers to the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all?

Choices:

☐ Sole - proprietorship☐ Partnership☐ Company☐ Trust

Financial Accounting II (MGT401)

Question: **6** (Marks: 1)Attempted Questions: **5**Total Questions: **69**

Which of the following types of Companies is (are) registered through Securities and Exchange Commission of Pakistan?

Choices:

☐ Public Limited Companies☐ Private Limited Companies☐ Both Public Limited Companies & Private Limited Companies☐ Neither Public Limited Companies nor Private Limited Companies

Financial Accounting II (MGT401)

Question: 7 (Marks: 1)

Attempted Questions: 6

Total Questions: 69

Which of the following asset is an example of Tangible Fixed Assets?

Choices:

☐ Vehicles☐ Good Will☐ Copyrights☐ Trade Marks and Designs

Financial Accounting II (MGT401)

Question: 8 (Marks: 1)

Attempted Questions: 7

Total Questions: 69

Which of the following costs can be capitalized?

Choices:

☐ Assets under construction for entity's own use

☐ Assets that are not currently in use because of excess capacity

☐ Assets that are ready for intended use

☐ Assets intended for sale or use that are produced as discrete projects

Financial Accounting II (MGT401)

Question: 9 (Marks: 1)

Attempted Questions: 8

Total Questions: 69

Which of the following is(are) the example(s) of Borrowing costs?

Choices:

☐ Amortization of discounts relating to borrowings

☐ Amortization of premium relating to borrowings

☐ Amortization of ancillary costs incurred in connection with the arrangement of borrowings

☐ All of the given options

Financial Accounting II (MGT401)

Question: **10** (Marks: 1)Attempted Questions: **9**Total Questions: **69**

ABC (Pvt) Limited is constructing an asset for their own use in the business. The production of asset started on September 30, 2006. Due to some internal problems of the company, the construction remained closed from November, 01 to November 31. The asset was completed on December 31. The asset was constructed by utilizing the borrowed funds. What is the period for which the capitalization should be made?

Choices:

☐ Borrowing costs should be capitalized for two months and shall remain suspended for one month

☐ Borrowing costs should be capitalized for three months

☐ Borrowing costs should be capitalized for one months and shall remain suspended for two month

☐ Borrowing costs should be capitalized for four months

Financial Accounting II (MGT401)

Question: 11 (Marks: 1)

Attempted Questions: 10 Total Questions: 69

Which of the following is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use?

Choices:

☐ Applied research☐ Development☐ Business research☐ Accounting

Financial Accounting II (MGT401)

Question: **12** (Marks: 1)Attempted Questions: **11**Total Questions: **69**

Which of the following investments are recorded using Cost Method?

Choices:

☐ Investments made for longer period☐ Investments made for shorter period☐ Investments made for shorter and longer period☐ None of the given options

Financial Accounting II (MGT401)

Question: **13** (Marks: 1)Attempted Questions: **12** Total Questions: **69**

Under which of the following circumstance(s), Trade Discount is granted?

Choices:

☐ When selling to a fellow trader

☐ When the buyer is an old customer

☐ When sales are made in bulk

☐ All of the given options

Financial Accounting II (MGT401)

Question: **14** (Marks: 1)Attempted Questions: **13** Total Questions: **69**

Which one of the following is NOT a fixed asset?

Choices:

☐ Office equipment☐ Vehicles☐ Land☐ Inventory

Financial Accounting II (MGT401)

Question: 15 (Marks: 1)

Attempted Questions: 14 Total Questions: 69

Which one of the following IAS is related to Financial Instruments Recognition and Measurement?

Choices:

IAS 27

IAS 31

IAS 32

IAS 39

Financial Accounting II (MGT401)

Question: **16** (Marks: 1)Attempted Questions: **15** Total Questions: **69**

Which one the following risk arises when financial instruments fluctuate due to change in market prices?

Choices:

☐ Price Risk☐ Currency Risk☐ Interest Risk☐ Liquidity Risk

Financial Accounting II (MGT401)

Question: 17 (Marks: 1)

Attempted Questions: 16 Total Questions: 69

Which of the following may result from an inability to sell a financial asset quickly at close to its fair value?

Choices:

☐ Price Risk☐ Liquidity Risk☐ Interest Rate Risk☐ Currency Risk

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Question: 18 (Marks: 1)

Attempted Questions: 17 Total Questions: 69

Cash in transit is shown in the balance sheet under the head of:

Choices:

☐ Fixed Assets☐ Current Assets☐ Intangible Assets☐ Foot Notes

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Question: **19** (Marks: 1)Attempted Questions: **18** Total Questions: **69**

Which of the following is NOT shown under the heading of Stock-in-Trade in Balance Sheet?

Choices:

☐ Raw Materials☐ Packing Materials☐ Finished Goods☐ Spares

Financial Accounting II (MGT401)

Question: 20 (Marks: 1)

Attempted Questions: 19 Total Questions: 69

Which of the following is a decrease in future economic benefits related to a decrease in an asset or an increase of a liability that can be measured reliably?

Choices:

☐ Equity☐ Income☐ Liability☐ Expense

Financial Accounting II (MGT401)

Question: 21 (Marks: 1)

Attempted Questions: 20 Total Questions: 69

Which of the following is TRUE with respect to the Capital section of the balance sheet for a sole-proprietorship?

Choices:

☐ Opening Capital + New Capital + Profit for the year = Closing Capital

☐ Closing Capital + New Capital + Profit for the year = Opening Capital

☐ Opening Capital + Loss for the year = Closing Capital

☐ Opening Capital + Profit for the year + Drawings = Closing Capital

Financial Accounting II (MGT401)

Question: **22** (Marks: 1)Attempted Questions: **21** Total Questions: **69**

Which of the following Section of Companies Ordinance 1984 refers to further issue of capital?

Choices:

☐ Section 83☐ Section 84☐ Section 85☐ Section 86

Financial Accounting II (MGT401)

Question: 23 (Marks: 1)

Attempted Questions: 22

Total Questions: 69

When a share having a face value of Rs.100 is issued at Rs.110 then which one of the following option is correct under this situation?

Choices:

☐ Shares issued at premium☐ Shares issued at discount☐ Shares issued at nominal value☐ Shares issued at market value

Financial Accounting II (MGT401)

Question: **24** (Marks: 1)Attempted Questions: **23** Total Questions: **69**

Which of the following is shown on the assets side of Balance Sheet until written off?

Choices:

☐ Discount on issue of shares☐ Premium on issue of shares☐ Issuance of shares at their face value☐ Dividend in the form of cash

Financial Accounting II (MGT401)

Question: **25** (Marks: 1)Attempted Questions: **24** Total Questions: **69**

If Company issues bonus shares, what would be its effect on Working Capital of the Company?

Choices:

☐ It will increase the Working Capital

☐ It will decrease the Working Capital

☐ Adverse effect on Working Capital

☐ There will be no effect on Working Capital

Financial Accounting II (MGT401)

Question: **26** (Marks: 1)Attempted Questions: **25**Total Questions: **69**

Which of the following Company requires to issue Prospectus for raising capital?

Choices:

☐ Public Limited Companies☐ Private Limited Companies☐ Partnership firms☐ Sole Traders

Financial Accounting II (MGT401)

Question: 27 (Marks: 1)

Attempted Questions: 26 Total Questions: 69

Which of the following Companies do not require to issue Prospectus for raising capital?

Choices:

☐ Public Limited Companies only☐ Private Limited Companies only☐ Partnership firms only☐ Both Private Limited Companies and Partnership firms

Financial Accounting II (MGT401)

Question: 28 (Marks: 1)

Attempted Questions: 27 Total Questions: 69

In case of operating lease, an asset is recorded in the books of lessee at which of the following value?

Choices:

☐ Fair value☐ Present value☐ Market value☐ Not recorded at any value

Financial Accounting II (MGT401)

Question: **29** (Marks: 1)Attempted Questions: **28** Total Questions: **69**

In case of operating lease, lease payments are recognized as an expense and sub-lease payments received are recognized as:

Choices:

☐ Income☐ Asset☐ Liability☐ Expense

Financial Accounting II (MGT401)

Question: 30 (Marks: 1)

Attempted Questions: 29 Total Questions: 69

Which of the following is/are the event/s after the balance sheet date with respect to IAS 10?

Choices:

☐ Adjusting events only☐ Non-adjusting events only☐ Both Adjusting and Non-adjusting events☐ None of the given options

Financial Accounting II (MGT401)

Question: **31** (Marks: 1)Attempted Questions: **30**Total Questions: **69**

Which of the following is TRUE about the Published Financial Statements?

Choices:

☐ Published statements are prepared by the external auditors

☐ Published statements are put in front of the Board of Directors for approval

☐ Published statements has been approved by the Board of Directors

☐ None of the given options

Financial Accounting II (MGT401)

Question: **32** (Marks: 1)Attempted Questions: **31**Total Questions: **69**

Which of the following is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence of one or more uncertain future events not wholly within the control of the entity?

Choices:

☐ Contingent asset☐ Fixed asset☐ Current asset☐ Floating asset

Financial Accounting II (MGT401)

Question: **33** (Marks: 1)Attempted Questions: **32** Total Questions: **69**

If a retail store has a policy of refunding purchases by dissatisfied customers, even though it is under no legal obligation to do so. Its policy of making refunds is generally known. Then which of the following is **TRUE** with respect to IAS-37?

Choices:

☐ It gives rise to legal obligation.

☐ It gives rise to constructive obligation.

☐ It does not give rise to constructive obligation.

☐ It removes the constructive obligation.

Financial Accounting II (MGT401)

Question: **34** (Marks: 1)Attempted Questions: **33** Total Questions: **69**

A furnace has a lining that needs to be replaced every 5 years for technical reasons. At the balance sheet date, the lining has been in use for 3 years. Which of the following is **TRUE** with respect to IAS-37?

Choices:

☐ A provision is not recognized today.

☐ A provision is recognized for the best estimates today.

☐ An income is recognized for the best estimates.

☐ None of the given options

Financial Accounting II (MGT401)

Question: **35** (Marks: 1)Attempted Questions: **34** Total Questions: **69**

Which of the following is used as denominator in calculating basic and diluted Earning per Share?

Choices:

☐ Weighted average number of ordinary shares

☐ Weighted average number of preference shares

☐ Number of preference shares outstanding

☐ Earning available to common stockholders

Financial Accounting II (MGT401)

Question: **36** (Marks: 1)Attempted Questions: **35** Total Questions: **69**

What will be the effect on Earning per share if, Earning available to common shareholders decreases while the Weightage average number of common shares remain constant?

Choices:

☐ EPS will increase☐ EPS will decrease☐ EPS will become negative☐ No effect

Financial Accounting II (MGT401)

Question: **37** (Marks: 1)Attempted Questions: **36** Total Questions: **69**

Which of the following statement shows the movement in cash resources of the business?

Choices:

☐ Income Statement☐ Cash Flow Statement☐ Statement of Changes in Owners Equity☐ Balance Sheet

Financial Accounting II (MGT401)

Question: **38** (Marks: 1)Attempted Questions: **37** Total Questions: **69**

Which of the following is true about liquidity and profitability?

Choices:

☐ The importance of Liquidity is more than the importance of Profitability

☐ The liquidity and profitability is not the same thing but both have equal importance

☐ Liquidity and Profitability is the same thing

☐ The importance of Liquidity is less than the importance of Profitability

Financial Accounting II (MGT401)

Question: **39** (Marks: 1)Attempted Questions: **38**Total Questions: **69**

If, 200,000 of 10% convertible debentures, converted in one year time at the rate of 3 shares per Rs.5 of debentures. The Paid up capital of 500,000 ordinary shares is Re. 1.00 each. What will be the number of ordinary share after conversion?

Choices:

☐ 120,000 ordinary shares☐ 380,000 ordinary shares☐ 500,000 ordinary shares☐ 620,000 ordinary shares

Financial Accounting II (MGT401)

Question: 40 (Marks: 1)

Attempted Questions: 39

Total Questions: 69

Which of the following is related with the IAS-8?

Choices:

☐ Accounting policies☐ Cash flow statement☐ Borrowing costs☐ Events after the balance sheet date

Financial Accounting II (MGT401)

Question: **41** (Marks: 1)Attempted Questions: **40** Total Questions: **69**

Which of the following is TRUE with respect to the issuance of shares?

Choices:

☐ Equity will be increased

☐ Equity will be decreased

☐ No effect on equity

☐ Retain earning will be increased

Financial Accounting II (MGT401)

Question: 42 (Marks: 1)

Attempted Questions: 41

Total Questions: 69

Which of the following is **TRUE** for the application of IAS-08?

Choices:

☐ It is applied in selecting the accounting policies only

☐ It is applied in applying the accounting policies only

☐ It is applied both for selecting and applying the accounting policies

☐ It is not applied in selecting and applying the accounting policies

Financial Accounting II (MGT401)

Question: **43** (Marks: 1)Attempted Questions: **42**Total Questions: **69**

Accounting for long term contract was switched over from "Completed Contract Method" to "Percentage of Completed Method". Whether it is:

Choices:

☐ Change in accounting policy☐ Prior period error☐ Change in accounting estimate☐ Irrelevant item with respect to IAS-08

Financial Accounting II (MGT401)

Question: **44** (Marks: 1)Attempted Questions: **43** Total Questions: **69**

A prior period error shall be corrected by:

Choices:

☐ Retrospective restatement

☐ Prospective application

☐ Shall not be corrected

☐ Costing

Financial Accounting II (MGT401)

Question: **45** (Marks: 1)Attempted Questions: **44** Total Questions: **69**

Which of the following is included in the Equity Section of the Balance Sheet?

Choices:

☐ Share capital☐ Long term financing☐ Deferred cost☐ Liability against assets subject to finance lease

Financial Accounting II (MGT401)

Question: **46** (Marks: 1)Attempted Questions: **45** Total Questions: **69**

Which of the following is **NOT** included in the Equity Section of the Balance Sheet?

Choices:

☐ Current portion of long term liability☐ Paid up capital☐ Reserves☐ Un-appropriated profit

Financial Accounting II (MGT401)

Question: **47** (Marks: 1)Attempted Questions: **46** Total Questions: **69**

Which of the following is FALSE with respect to IAS-02?

Choices:

☐ Goods on consignment are included in consignee inventory

☐ Under the weighted average method, the pricing of issues from inventory is deferred until the end of accounting period

☐ In period of rising prices FIFO method gives the highest inventory compared to LIFO method

☐ In period of rising prices FIFO method gives the highest net profit compared to LIFO method

Financial Accounting II (MGT401)

Question: **48** (Marks: 1)Attempted Questions: **47** Total Questions: **69**

Which of the following method is preferred method by IAS 07 to prepare Cash flow statement?

Choices:

☐ Direct method☐ Indirect method☐ Algebraic method☐ All of the given options

Financial Accounting II (MGT401)

Question: **49** (Marks: 1)Attempted Questions: **48** Total Questions: **69**

The difference between the direct and indirect methods of preparing statement of cash flows is:

Choices:

☐ Applies to the operating activities section of the statement

☐ Applies to the operating and financing sections of the statement

☐ Applies to the financing section of the statement

☐ The indirect method only looks at one accounting period, while the direct method takes into account the current and prior accounting periods

Financial Accounting II (MGT401)

Question: **50** (Marks: 1)Attempted Questions: **49** Total Questions: **69**

Which of the following is the example of Distribution Cost?

Choices:

☐ Selling costs☐ Depreciation charges☐ Rent charges☐ Utility expenses

Financial Accounting II (MGT401)

Question: **51** (Marks: 1)Attempted Questions: **50** Total Questions: **69**

The process of determining the present value of a payment or a stream of payments that is to be received in the future is known as:

Choices:

☐ Discounting☐ Compounding☐ Factorization☐ None of the given options

Financial Accounting II (MGT401)

Question: **52** (Marks: 1)Attempted Questions: **51** Total Questions: **69**

Which of the following process can be defined as the process of generating earnings from previous earnings?

Choices:

☐ Discounting☐ Compounding☐ Factorization☐ None of the given options

Financial Accounting II (MGT401)

Question: **54** (Marks: 1)Attempted Questions: **53** Total Questions: **69**

If Company B holds more than 50% shares of Company A and therefore "A" is a subsidiary of "B" and Company C holds more than 50% shares of Company B and therefore "B" is a subsidiary of "C", then which of the following statement is TRUE about direct and indirect subsidiary?

Choices:

☐ "B" is direct subsidiary of "A"

☐ "C" is direct subsidiary of "B"

☐ "C" is indirect subsidiary of "A"

☐ "A" is indirect subsidiary of "C"

Financial Accounting II (MGT401)

Question: **53** (Marks: 1)Attempted Questions: **53** Total Questions: **69**

Which of the following comes under the heading of current liabilities?

Choices:

☐ Murabaha☐ Bonds☐ Debentures☐ Loan on mortgage

Financial Accounting II (MGT401)

Question: **55** (Marks: 1)Attempted Questions: **54** Total Questions: **69**

Which of the following reserve is utilized by the Company for the purpose of writing off preliminary expenses?

Choices:

☐ Share capital reserve☐ Share premium reserve☐ Revenue Reserve☐ Incremental reserve

Financial Accounting II (MGT401)

Question: **56** (Marks: 1)Attempted Questions: **55**Total Questions: **69**

Which of the following condition must be fulfilled for reduction in share capital?

Choices:

☐ Special resolution☐ Approval of court☐ Pay off any share capital that is in excess of its needs☐ All of the given options

Financial Accounting II (MGT401)

Question: **57** (Marks: 1)Attempted Questions: **56** Total Questions: **69**

Which of the following best explain the term sale and lease back?

Choices:

☐ The holder of an asset sells it to another party and then immediately leases it back again

☐ The holder of an asset sells it to another party

☐ The holder of an asset lease it to another party

☐ The holder of an asset let it out to another party

Financial Accounting II (MGT401)

Question: **58** (Marks: 1)Attempted Questions: **57** Total Questions: **69**

Which of the following is/are included under the head of Recognition and Disclosure of Leases?

Choices:

☐ Transfer of ownership at the end of lease term

☐ Lease term for major part of economic life of an asset

☐ Present value of MLP substantially equals the Future value of leased asset

☐ All of the given options

Financial Accounting II (MGT401)

Question: **59** (Marks: 1)Attempted Questions: **58** Total Questions: **69**

Which of the following is NOT recognized in the financial statements?

Choices:

☐ Contingent Liability☐ Absolute Liability☐ Fictitious Asset☐ Capital work in process

Financial Accounting II (MGT401)

Question: **60** (Marks: 1)Attempted Questions: **59**Total Questions: **69**

Which of the following fulfill the objective of Income statement?

Choices:

☐ It provides the information about financial position of the business

☐ It provides the information about financial performance of the business

☐ It provides the information about cash flows of the business

☐ All of the given options

Financial Accounting II (MGT401)

Question: **61** (Marks: 1)Attempted Questions: **60** Total Questions: **69**

Higher the value of inventory, higher will be the:

Choices:

☐ Loss☐ Net Loss☐ Profit☐ None of the given options

Financial Accounting II (MGT401)

Question: **62** (Marks: 1)Attempted Questions: **61**Total Questions: **69**

Which of the following fulfill the definition of Cash Equivalents?

Choices:

☐ Cash equivalents are those short term investments that can be converted into cash at any time

☐ Investments up to three months of maturity

☐ Short term investment papers up to two months of maturity

☐ All of the given options

Financial Accounting II (MGT401)

Question: **63** (Marks: 3)

Attempted Questions: **62** Total Questions: **69**

An asset, whose book value is Rs. 89,000, was destroyed by fire after the balance sheet date.

Required:

- Identify the type of event
 - What will be the accounting treatment?
-

Financial Accounting II (MGT401)

Question: **64** (Marks: 3)

Attempted Questions: **62** Total Questions: **69**

What do you know about the term Accounting Policies with respect to the IAS-08?

Financial Accounting II (MGT401)

Question: 66 (Marks: 5)

Attempted Questions: 62 **Total Questions: 69**

What are the Limitations on “Retrospective Restatements” with respect to IAS-08?

Financial Accounting II (MGT401)

Question: **67** (Marks: 5)Attempted Questions: **62** Total Questions: **69****If:**

- | | |
|------------------------------------|-------------|
| • Accounts receivable at beginning | Rs. 250,000 |
| • Accounts receivable at the end | 190,000 |
| • Credit sale | 300,000 |

Then:

You are required to calculate the cash receipts from sale with the help of accounts receivables ledger account.